MORNINGSTAR FARMS

A Brand Perception and Stakeholder Analysis

By Luis Camilleri, David Green, Paige Lincoln, Victor Luna, Alex Patterson, and Breanna Pierre-Toussaint

THE ANALYSTS BEHIND THE REPORT

Alex Patterson

Paige Lincoln

Luis Camilleri

David Green

Breanna Pierre-Toussaint

Victor Luna

TRANSPARENCY GAPS IMPACT TRUST AND BRAND EQUITY

- The Emerging Transparency Gap
- Stakeholders at the Center of the Tension
- Reputational and Market Consequences
- What the Future Could Hold

Victor Luna

BRAND INTENTION AND CONSUMER EXPERIENCE ARE NOT FULLY ALIGNED

BRAND INTENTION

- Clear Plant-Based Identity
- Distinct Product Segmentation
- Transparent Ingredient Standards

CONSUMER EXPERIENCE

- Labeling Ambiguity
- Reformulation Confusion
- Expectation Misalignment

Victor Luna

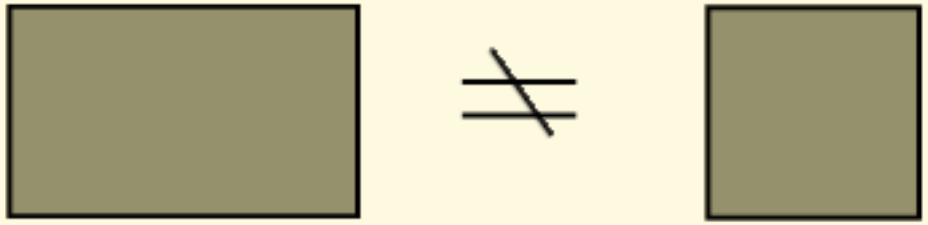
BRAND AND CONSUMER PERCEPTIONS ARE MISALIGNED

Morningstar Position

"...by 2021, all 49 of its retail products and the 26 items it sells into foodservice channels will be vegan," - Forbes

Forbes

Consumer Position



"Fast forward to 2024, Morningstar Farms now labels itself and its products "plant-based" while still using eggs and dairy in most of them." - Reddit

Reddit Threads

Alex Patterson

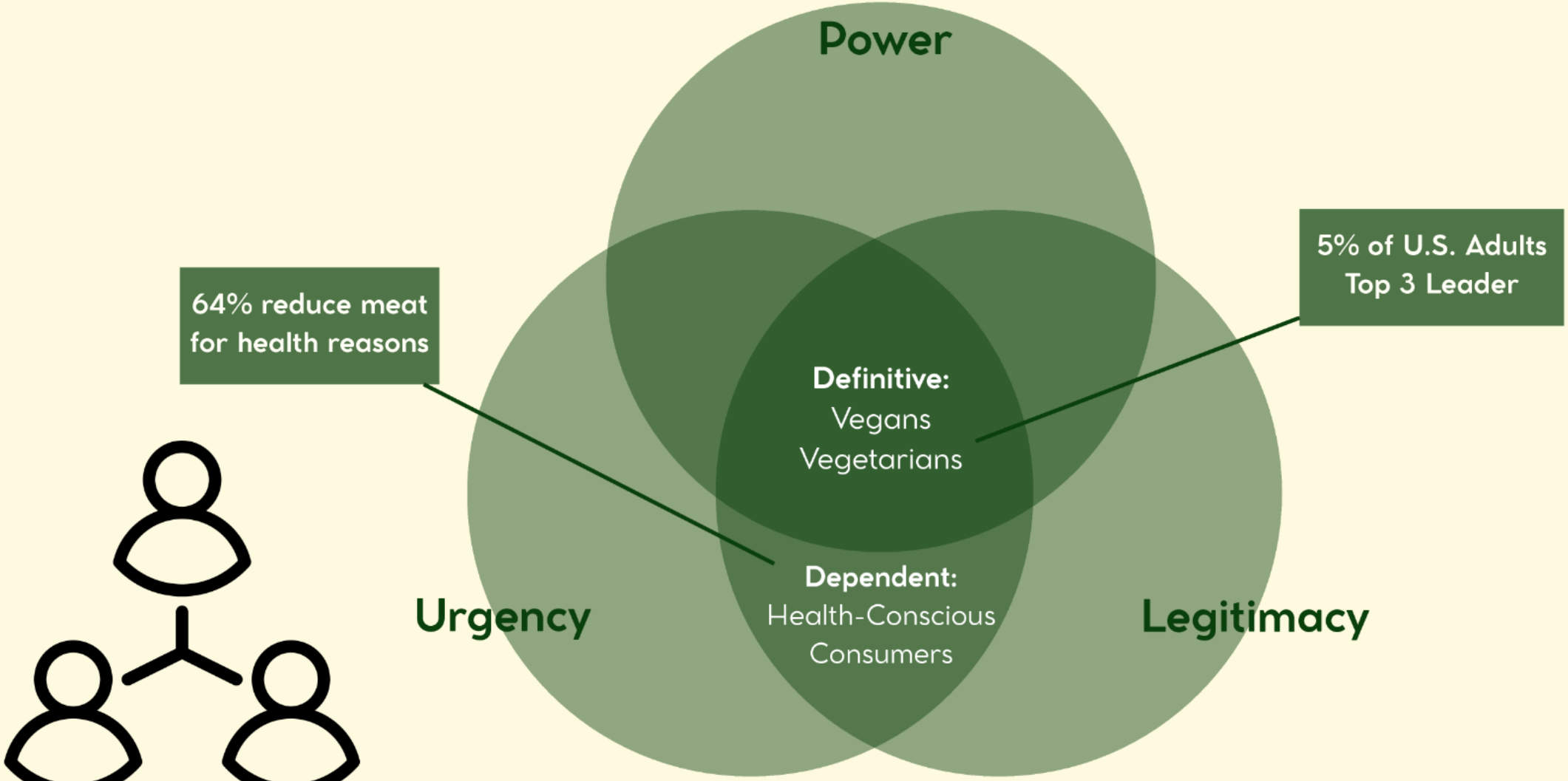
POSITIVE EFFECTS RESULT FROM TRANSPARENT ALIGNMENT

Alex Patterson

STAKEHOLDERS FALL INTO DISTINCT INTERNAL AND EXTERNAL GROUPS

Paige Lincoln

PLANT-BASED AND HEALTH CONSCIOUS CONSUMERS DRIVE PRIMARY STAKEHOLDER FOCUS



Paige Lincoln

INDIVIDUAL STAKEHOLDERS DEMAND TRANSPARENCY

Vegans

Expect 100% plant-based ingredients

Care about environment sustainability

Want transparency on labeling

Key issue: Some Morningstar products previously contained egg/dairy which caused trust concerns with vegans

Vegetarians

Want convenient meat alternatives

Look for good taste and texture

Want transparency on labeling

Key issue: Balancing health, taste, and affordability

BRAND MISALIGNMENT LEADS TO CHANGES IN STAKEHOLDER LOYALTY

Brand reputation is of huge importance in keeping plant-based consumer's trust.

A study has revealed that 60% of consumers would never buy from a brand that had mislabeled their product as vegan.

Angela Kennard lawsuit showed that people do care about accurate labeling.

Source Source David Green

BEYOND MEAT RAISES THE BAR FOR TRANSPARENCY AND BRAND CLARITY

IMPOSSIBLE MEATS

- Faced backlash after conducting animal testing (rats).
- Experienced regulatory and legal challenges related to trademarking.

MORNINGSTAR FARMS

- Packaging does not clearly distinguish between vegan and vegetarian products.
- Potential confusion for consumers who assume all plant-based items are vegan.

BEYOND MEAT

- Criticism over inconsistent or unclear communication with investors during financial downturns.
- Erosion of stakeholder trust due to perceived gaps between messaging and performance.

Breanna Pierre-Toussaint

CLARITY AND TRANSPARENCY LEAD TO TRUST

If Clarity Strengthens

- Reinforced market differentiation
- Restored consumer trust
- Stabilized long-term brand value